Praecuro Vet Services Ltd (PVS)

MAR JUN 2024 PAPER

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(1a) Prepare briefing notes for the BD director which assess the impact of the joint venture on the PVS brand and the extent to which PVS's service features would be delivered. Recommend whether a franchise agreement would be better than a joint venture (14 + 4 Evaluation Skill = 18 MKS)

BRIEFING NOTE

TO: BD

FROM: External Consultant

SUBJECT: Joint venture and franchise

DATE: June 20X4

INTRODUCTION

This briefing note assess the impact of the joint venture on the PVS brand and the extent to which PVS's service features would be delivered. Recommend whether a franchise agreement would be better than a joint venture

AFFECT OF JV ON BRAND

Brand

B4P is a budget store whereas PVS is a quality service provider. As the business strategy is different, this will create confusion and may adversely affect PVS brand.

Geographical expansion

Currently PVS has stores in South Arland only. It does not have any presence in other part of the country. Doing the JV will help you access other parts of the country as B4P has stores in North and East Arland

More customers

An increasing number of its customers are looking for pet healthcare advice which B4P's staff do not have the vet training to provide. Since PVS has the expertise, this will be an opportunity to capture these additional customers, which will help you grow your business.

Shortage of doctors

PVS will need additional doctors and nurses for the new clinics. recruitment will be a big challenge as there is a severe shortage of doctors and nurses in the country.

AFFECT OF JV ON SERVICE DELIVERY

Location

B4P has extensive car parking and good public transport links allowing customers to avoid traffic congestion in town centers. This is favourable because this will lead to easy access and customer convenience, as PVS also focuses on good location with parking facility.

Innovation

This JV will be the first collaboration of this kind in the industry. Since PVS has not done any innovation since past 2 years, this will help you achieve your value of innovation and grow the business.

Quality of service

B4P provides only a basic level of customer service. Whereas PVS PVS provides best customer service through knowledgeable, happy and welcoming staff. Hence this might not be aligned with PVS value of Quality and Care

FRANCHISE AGREEMENT

Financial risk

Franchising will reduce financial risk as no investment will be required and PVS will earn royalty income based on turnover.

Brand

However, PVS brand will be at risk as there will be high dependency on B4P and if the service quality deteriorates, it will adversely affect your brand and reputation.

Recommendation

I would recommend JV as compared to franchise as in JV you will have direct control on teh quality and hence your brand image will be more secure which is quite important in the long run and in line with your values.

Best regards

External Consultant

(1b) Prepare TWO presentation slides, with accompanying notes, for the board which discuss:

(i) how technological developments could deliver growth for PVS; and

(ii) the drawbacks for PVS, including ethical issues, of adopting such technological developments

(16 + 4 Communication skill = 20 marks)

SLIDE 1

HOW TECHNOLOGICAL DEVELOPMENTS COULD DELIVER GROWTH

- INNOVATION / COMPETITIVE EDGE
- ATTRACT YOUNGER GENERATION
- BETTER CUSTOMER SERVICE
- NO GEOGRAPHICAL BOUNDARIES
- DIGITAL MARKETING

ACCOMPANYING NOTES

Innovation is one of the strategic objective but PVS has not done any innovation since 2 years. If PVS offers smart collars worn by pet, it will be a new product and will help to attract more customers and give competitive edge.

60% of new pet owners in Arland in the last five years are aged 16 to 34. Using latest technology will in pet care help you attract younger generation as they prefer using technology.

PVS does not have any email communication with its customers Cloud-based integrated business management software offers online booking for clients and sends follow-ups and reminders. This will improve client service and lead to better engagement with customers.

One of the industry threat is growing use of tele health and many customers are moving to this. If PVS adopts telehealth, it will increase its geographical reach across Arland as well as globally hence leading to customer and revenue growth

PVS has limited presence on social media. Using technology will enable PVS to do digital marketing which will increase its reach, lead to personalized marketing and target younger generation

SLIDE 2

DRAWBACKS OF ADOPTING TECHNOLOGY

- TECHNICAL EXPERTISE
- DATA SECURITY AND PRIVACY
- LEGAL COMPLIANCE
- INVESTMENT
- LOSS OF JOBS

ACCOMPANYING NOTES

To date, PVS has not made any investment in technology relating to pet care. Hence PVS does not have any expertise or prior experience in using such technology.

If PVS uses technology, the amount of data will increase. This will increase the risk of hacking or data leakage and would require strong data security.

Since PVS will be storing personal and sensitive data, it will be subject to higher regulatory / data privacy requirements. This increases the risk of regulatory non-compliance leading to possible fines and reputational loss.

Investment in technology would require significant financial resources in terms of hardware, software, staffing, training, etc. PVS financial situation is deteriorating since last 3 years and hence arranging the funds could be challenging

Using technology in most areas of business may lead to job redundancies as human jobs will be replaced by automation. This is unethical as it will create unemployment in the society as well as against our strategic objective of retaining staff. (ethical implication)

(2A) Prepare briefing notes for the HR director which assess how a corporate social responsibility strategy could impact on each of PVS's key stakeholders and, where appropriate, how this would enable growth in market share (16 + 4 Communication Skill = 20 MKS)

BRIEFING NOTE

TO: BOD

FROM: External Consultant

SUBJECT: Corporate social responsibility strategy

DATE: June 20X4

INTRODUCTION

This briefing note assess how a corporate social responsibility strategy could impact on each of PVS's key stakeholders and, where appropriate, how this would enable growth in market share

Customers

Customer preference

70% of consumers in Arland want to want to support brands which address social and environmental issues. Engaging in CSR will help attract more customers who values CSR and will lead to increase in revenue. This is important as number of new clients for PVS has fallen from 16k to 7k (56%) during last 3 years.

Improved brand

CSR will have a positive impact on the way in which your brand is perceived. This will give you competitive edge and increase your market share.

Employees

Improved quality

Employees perform better for socially-responsible businesses. Twill improve quality of your services, leading to higher customer satisfaction and retention and more revenues. This will also help you address customer satisfaction rating which is falling since last 3 years.

Lower staff turnover

Implementing CSR can cut staff turnover by 35%. This is important as staff turnover for PVS has increased from 10% to 19% during last 3 years. This will minimize operational disruptions, lower recruitment and training cost and boos staff morale.

Increased productivity

Implementing CSR can increase productivity by 13%. This will help in reducing your operating costs which is important as your revenues are falling since last 3 years.

Attract talented workforce

There is a severe shortage of Vets in the market. Engaging in CSR would attract talented workforce who value CSR.

Society

Growing public interest

There is growing public interest on social and environmental impact. CSR will help you spread word of mouth and enhance your reputation to attract more customers.

Younger children

Engaging in animal charity and visiting schools to spread awareness in young children will help you spread your brand and awareness which will help you target younger generation as future customers.

Government

Government Awards

PSS has not won any awards in last 6 years. CSR can help PVS win prestigious government award which will enhance your reputation and provide competitive edge over competitors.

Financial benefit

Engaging in CSR may lead to government grants, tax breaks, winning government contracts leading to financial gains and profitability (general point)

Industry Body

Only 5% of companies holds higher level SPP certification. Through CSR you will be able to achieve higher level SPP accreditation as you can demonstrate how you have benefitted the community. This certification can give you significant competitive edge and increase your market share.

Suppliers

PVS sources all medication and supplies from Arland Vet Supplies Ltd, the largest vet wholesaler in Arland. CSR will result in attracting those suppliers who value these activities and hence we will be able to negotiate lower rates hence reducing our cost of supplies.

Best regards

External Consultant

(SELECT ANY 10 POINTS IN TOTAL)

(2B) Prepare an email for the HR director which critically evaluates the project manager job description that the junior human resources assistant has drafted. (14 + 4 Scepticism Skill = 18 MKS)

EMAIL

TO: HR Director

FROM: External Consultant

SUBJECT: Project Manager Job Description

DATE: June 2024

This email critically evaluates the project manager job description that the junior human resources assistant has drafted.

Reporting

The JD mentions that the PM will report to the CEO. I don't think this is correct. A PM normally reports to the project sponsor.

Accountability

The PM will be ultimately accountable to the PVS board. This is incorrect as the Project Sponsor is the person who is accountable for the successful delivery of the project and not the PM.

Appoint project sponsor

The JD mentions that the PM will appoint the project sponsor. I disagree with this. How could a PM appoint a project sponsor? The project sponsor is a senior person of the company and appointed by the BOD.

Monitoring and control activities

The PM will ensure all projects are delivered on time and on budget. What about the quality aspects of the project? The PM should also monitor the quality aspects of the project in addition to time and budget.

Work on your own

It is mentioned that the project manager should be able to work on your own. I don't think this is correct. A project manager should be a team player as he/she will managing cross-functional project teams

Unpaid overtime

The PM is expected to work unpaid overtime, including in the evenings and weekends. Do you think that by not paying overtime, will you be able to attract competent PMs?

Gender discrimination

Its mentioned in the JD that mothers with young children should not apply. I think this is highly inappropriate as it shows gender discrimination and against the staffing values of PVS.

Sharing competitor details

The JD mentions that we particularly welcome applications from candidates are able to share details about the competitive advantages of our rivals. I completely disagree with this as this is quite unprofessional and against the ethical values of the company.

Professional Qualification

The JD mentions experience only. Don't you think minimum professional qualification should also be mentioned so that only qualified project managers can apply?

Best regards

External Consultant

(SELECT ANY 9 POINTS IN TOTAL)

3) Prepare a report for the CFO which:

(i) assesses the implications of each of the internal control weaknesses identified in the credit control department; and;

(ii) recommends appropriate controls to mitigate these weaknesses

(20 + 4 Analysis skill = 24 MKS)

REPORT

TO: CFO

FROM: External Consultant

SUBJECT: Internal Control Weaknesses

DATE: June 20X4

INTRODUCTION

This report assesses the implications of each of the internal control weaknesses identified in the credit control department and recommends appropriate controls to mitigate these weaknesses

Weakness / Implication	Recommendation
Weakness # 1 The credit control procedure document has not been updated since last 5 years. Since this document is outdated, credit control staff will not be aware of the current procedures. There is no formal timetable for invoicing and followup. If there is no timetable, staff will work in an unorganized manner which can lead to delays in recovery, bad debts and customer complaints	I recommend that the credit control procedure document should be updated annually and regular training should be given to all staff. Also a formal timetable should be prepared for invoicing and followup, so that staff can follow steps in disciplined and timely manner.
Weakness # 2 If the client data is not protected, it can lead to hacking and misuse of data or fraud. This can result in loss of customers, legal fines and reputational loss.	Proper data security controls should be implemented such as: - Strong password management - Access to authorized staff only - Firewalls - Audit trails and system logs - Data encryption - Segregation of duty - Updated anti virus - IT security audit

Weakness / Implication	Recommendation
Weakness # 3 If the temporary staff are not trained, they will make mistakes. This will lead to frustrated customers, delay in recoveries and even bad debts. This also leads to inefficiencies and long working hours.	All temporary staff should be provided with proper training so that they know how to do all tasks. You should also investigate the reasons for high turnover and identify the root cause so that staff turnover in credit control department can be reduced.
Weakness # 4 The members are not provided with any plan documentation. This can lead to lack of clarity or misunderstanding hence causing customer dissatisfaction or reputational loss. Also the receptionist is providing incorrect information to customers signing on after 1 mar 20x4. This can lead to dispute and hence loss of customers, reputation and market share	All customers should be provided with plan documentation so that they are aware of the terms and conditions of the plan. Also any change to the plan document should be immediately communicated to receptionist so that they provide accurate information to the customers.
Weakness # 5 If you continue to offer services to non-paying members, this will lead to delayed recovery or possible bad debts for PVS as it is likely that those members might not pay the invoices	PVS should stop providing services to members who have not paid their dues. Reception staff should be informed of all such members so that they do not entertain such members.

Best regards

External Consultant

(SELECT ANY 12 POINTS IN TOTAL)